CG Session 13

Session 13: The Anglo-Saxon Model, Shareholder Value and the Market for Corporate Control

Why this session matters

The United States and the United Kingdom are usually filed under one label, the Anglo-Saxon model, built on two pillars: shareholders' equality (one share, one vote) and shareholder primacy. Yet the two countries govern listed companies in almost opposite ways: mandatory federal rules on one side of the Atlantic, voluntary principles on the other. This session explains where the model came from, why the 1980s turned it into a machine for disciplining managers, and where the two versions still differ. It is the session that ties together everything said so far about shareholder value: the principle was not always dominant, it was imposed by a market, and that market has a name, the market for corporate control.

The shareholder value principle and what it reacted against

Shareholder primacy coincides with the shareholder value creation golden rule, and it is still a guiding principle, for instance for institutional investors, even though leading American companies now declare themselves supportive of a stakeholder-oriented approach. The principle is old: it dates back to Milton Friedman's 1970 New York Times Magazine article, "The Social Responsibility of Business is to Increase its Profits". Friedman's piece was not written in a vacuum; it was a critique of the behavior of American top management in a phase of intensive, short-sighted value destruction.

The destruction had a precise shape: non-related diversification. Starting from the mid-1960s, the largest American companies diversified into unrelated businesses, and the numbers in the session's table make the wave visible: among the US 500, monobusiness firms fell from 42.0% in 1949 to 14.4% in 1974, while conglomerates rose from 4.1% to 20.7% over the same years, peaking at 18.7% already in 1969. Related diversifiers also grew, from 25.7% to a 44.4% peak in 1969.

Why did managers do it? The session gives four reasons: countercyclical strategies by top management trying to keep corporate-level ROA and ROE high in a phase of structural stagnation; remuneration systems rewarding both returns and size, meaning market share; the development of purely financial management techniques; and the instruments forged by consulting companies, such as the BCG relative market share matrix.

> **Reading the table.** A conglomerate share of 20.7% in 1974 means one large American company in five was by then a portfolio of unrelated businesses. The same table shows the strategy was deliberate, not accidental: the shift is monotonic from 1959 onward for both conglomerates (up) and monobusiness firms (down). When a market later started pricing these groups below the sum of their parts, the stage was set for the conglomerate discount, and for those who would profit from closing it.

The 1980s scenario: junk bonds and petrodollars

Two financial innovations made the reaction possible. First, the rise of the junk bond market, associated with Michael Milken: institutions would buy on his say-so, and once a secondary market existed, money could be raised for new, younger companies and for bidders. Second, the huge liquidity in the banking system linked to the petrodollar deluge. Together they enabled hostile takeover offers even for the largest firms. The 1980s became the decade of leveraged buyouts and hostile takeovers, a feature of the Anglo-Saxon countries far more than of the others.

Companies reacted by adding anti-takeover defensive tools and restrictions of shareholders' rights, such as staggered elections of directors and limitations to shareholder action, with the ultimate goal of deterring shareholder activism. The United States let them; the United Kingdom did not, which is why the two models diverge exactly here.

> **Worked example: two ways to buy a British company.** Suppose a target has 100 million voting shares outstanding. Under a scheme of arrangement, the bidder needs approval from

> holders of at least 75% of the votes cast by the target's shareholders, so about 75 million votes, before all shares can be acquired at once. Under a takeover offer, the offer is binding only for the shareholders who accept it: the bidder can end up with, say, 62 million shares and no way to force the rest to sell, unless it reaches at least 90% of the target's voting shares, 90 million, which unlocks the squeeze-out of the remaining holders. The British bidder therefore needs near-total shareholder consent, and no board maneuver can substitute for it. Compare the United States, where a board could keep a staggered election calendar and simply make the bid too slow to be worth the trouble.

Leveraged buyouts: how the machine works

The basic principle: a listed target, undervalued by the market but holding potential value and assets, is taken over by a hostile bidder endowed with financial resources, debt, bonds and equity, granted in part against the assets and cash flows of the target itself. All the resources involved are high-risk rated: junk bonds. Perfect targets were conglomerates discounted by the market but with good assets, acceptable cash flows and a medium-low level of indebtedness.

The structure drawn in class has the LBO firm, say KKR, at the center, a limited partnership of buyout funds around it, institutional investors and banks providing stock debt, the market providing junk bonds, a NewCo acquiring the target company, and the target's cash flow servicing the whole. The output of the machine is the market for corporate control and its capital gains. The CEO's pay becomes highly sensitive to performance.

LBOs were seen negatively by public opinion, as financial engineering producing lay-offs and restructurings, but they can be an efficient way to recreate the value destroyed by the conglomerate discount. The session's keywords for what an LBO requires: an efficient market for corporate control; the willingness to maximize a hidden value for shareholders; efficient management of the companies after the takeover and the break-up; effective instruments to align managers' and shareholders' interests, namely stock options; and, financing it all, institutional investors and in particular pension funds.

The legacy is threefold: managers as shareholders, a stronger push toward efficiency, and the emphasis on the shareholder value model, the idea that the ultimate measure of a company's success is the extent to which it enriches shareholders. A contemporary footnote closes the takeover story: the Musk-Twitter saga of 2022, an unsolicited offer at a price that sounded like a joke, a board that resisted then agreed that taking it seriously was best for shareholders, and a buyer who spent a year trying to wriggle out before paying 44 billion dollars.

Why the activism, and why it is a principal-agent answer

The market for corporate control took off from the mid-1980s because the governance mechanisms of the big American corporations no longer worked, because there was wealth to redistribute, and because institutional ownership had grown: as citizens started investing through private pension funds, those funds came to control significant shares of large corporations. Motivating managers to maximize shareholder value was then solved through two approaches: the market for corporate control, where rival management teams can buy control from the owners, so the threat of a takeover becomes a disciplining device for management; and institutional investors directly monitoring the companies they own.

The American paradox: rules, late and mandatory

Here comes the paradox. In the 1990s and early 2000s, American companies were simply requested to comply with the generally accepted accounting principles; there was no corporate governance code at all. The Enron scandal of 2001 made Congress reinforce the legislation, pitting the Blue Ribbon Commission of the National Association of Corporate Directors against the presumed rationality of financial markets. The result, the Sarbanes-Oxley Act, is legislative in nature: both it and the United Kingdom code ask for specific audit committee standards, independent directors and a whistleblower line, but American stock exchanges are not allowed to list companies that do not meet the standards, whereas the United Kingdom code rests on principles.

The American model today: corporate governance codes arrived very late, with the Corporate Governance Reform and Transparency Act of 2017 and the Corporate Governance Fairness Act of 2018; companies are incorporated in individual states and subject to state company law; investor protection, auditing and financial disclosure of public companies are a federal responsibility under the Securities and Exchange Commission; governance is based on a unitary board with a

predominance of independent directors; regulators must ensure rules are obeyed, and the rules are mandatory; accounting standards are not yet international, though moving toward them. The Dodd-Frank Act of 2010, passed in reaction to the governance practices behind the 2008-2010 crisis, expanded shareholders' rights to nominate directors in company proxies, against self-appointed and interlocked boards, and required further disclosures in shareholder votes on key issues, particularly executive compensation.

The British alternative: principles and comply or explain

The United Kingdom shares the common law tradition, and its joint-stock incorporation law goes back to the nineteenth century, but its corporate governance rules are principles-based. Compliance is voluntary: the comply or explain approach, first introduced by the Cadbury Code, requires listed companies to disclose deviations from the recommended practices and to justify them. The logic fits the City of London's tradition of self-regulation: the regulator's role is to ensure that investors and potential investors have accurate information on which to base their judgments, not to force one governance shape on everyone.

CEO duality: an American habit with an open verdict

One concrete difference remains: in the United States the roles of chief executive officer and chairman are frequently combined, an increasing diffusion also visible elsewhere, even in China during the economic reforms, and much less in Europe, with the big French exception. Is duality an inevitable deviation or an intrinsic development of CEO leadership? The evidence is genuinely mixed. Some research suggests duality improves performance by creating a unified leadership structure that speeds up decisions; other studies argue it hurts performance by concentrating power and weakening the board's monitoring, a core principle of agency theory; yet other research finds no significant relationship, or effects that depend on firm size, ownership structure or family control.

What you must walk away with

Must know:

- The Anglo-Saxon model rests on two pillars, one share-one vote and shareholder primacy; the shareholder value principle goes back to Friedman (1970) and reacted against the value destruction of non-related diversification (conglomerates from 4.1% to 20.7% of the US 500, 1949-1974).
- The 1980s revolution was financed by junk bonds and petrodollar liquidity; American boards answered with staggered elections and limits to shareholder action, while the United Kingdom imposed 75% scheme approval and a 90% squeeze-out threshold instead.
- An LBO takes over an undervalued target partly with resources granted against the target's own assets and cash flows; ideal targets are discounted conglomerates with good assets and medium-low debt; the legacy is managers as shareholders, efficiency pressure and the shareholder value model.
- The market for corporate control is a principal-agent device: rival management teams buying control discipline incumbent managers, and pension funds made institutional ownership its fuel.
- The American model is rules-based and late: no code until 2017-2018, mandatory standards after Enron (Sarbanes-Oxley) and after the 2008 crisis (Dodd-Frank, proxy nomination rights and say-on-pay disclosure); the British model is principles-based, voluntary, comply or explain since Cadbury.
- CEO duality is widespread in the United States, rare in Europe except France, and its performance effect is unsettled: unified leadership, power concentration, or no significant relationship depending on the study.